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By email and by first-class post
Our ref: SJW/EM/WC-00123
Your ref: —

The Directors

Pinnacle Systems Limited

Pinnacle House, 7 Kingsway, Reading RG1 3AX

12 February 2025

Dear Sirs

LETTER OF CLAIM

Pinnacle Enterprise & Warehouse Management System — Implementation Agreement dated 4 March 2024

Our client: Wexford Consumer Brands Limited (company no. 06241188)

We act for Wexford Consumer Brands Limited ("our client"), a subsidiary of Wexford Holdings Limited. This letter is sent in accordance with the Pre-Action Protocol for Construction and Engineering Disputes / the Practice Direction on Pre-Action Conduct and Protocols, and constitutes our client's formal letter of claim. We ask that it be passed without delay to your insurers and to any solicitors you instruct.

1. The parties and the agreement

1. Our client operates three chilled and ambient food production and distribution sites supplying the major UK grocery multiples. You are a supplier of enterprise resource planning ("ERP") and warehouse management ("WMS") software and related implementation services.

2. By a written agreement dated 4 March 2024 (the "Agreement") our client engaged you to licence, configure, implement and commission the Pinnacle ERP and WMS platform (the "System") across our client's Banbury, Wakefield and Avonmouth sites, and to migrate data from our client's legacy systems, in consideration of charges totalling £1,840,000 (exclusive of VAT), comprising licence fees of £640,000 and implementation and professional services fees of £1,200,000.

3. The Agreement provided, among other things, that: (a) you would perform the implementation services with reasonable care and skill and in accordance with good industry practice; (b) the System would, on go-live, meet the requirements set out in the agreed Statement of Requirements and Solution Design Document; (c) you would achieve User Acceptance Testing ("UAT") sign-off and a successful go-live by the milestone dates in the agreed Project Plan, with phased go-live commencing 1 October 2024; and (d) time was of the essence in respect of the go-live milestone. Terms as to reasonable care and skill are in any event implied by section 13 of the Supply of Goods and Services Act 1982.

2. What went wrong

4. The project failed. In summary:

   (a) UAT was repeatedly missed. The System failed 41 of 96 critical test scripts at the first formal UAT cycle in August 2024, including core inventory, lot-traceability

and despatch functions essential to a food business operating to BRCGS standards.

(b) Against our client's advice you insisted on proceeding to a "technical go-live" at the Banbury site on 4 November 2024 with material defects outstanding. The go-live failed catastrophically: stock records were corrupted on migration, the WMS could not reconcile pallet locations, and despatch was halted for nine days.

(c) Lot-traceability — a legal and customer-mandated requirement — did not function, exposing our client to the risk of being unable to execute a product recall and to delisting by its customers.

(d) Defect resolution stalled. As at the date of this letter 28 priority-1 and priority-2 defects logged between November 2024 and January 2025 remain unresolved.

5. Our client suspended the rollout to its remaining sites on 18 November 2024 and, following your failure to present a credible remediation plan, gave notice terminating the Agreement for repudiatory breach on 24 January 2025.

3. Breaches relied upon

6. Our client's case is that you acted in breach of the express and implied terms of the Agreement, in particular by: failing to perform the implementation services with reasonable care and skill; failing to deliver a System conforming to the agreed Statement of Requirements; proceeding to go-live when you knew or ought to have known the System was not fit to go live; and failing to achieve the go-live milestone (time being of the essence). The breaches were repudiatory, alternatively such as to entitle our client to terminate at common law and/or under the Agreement.

4. Loss and damage

7. Our client's loss, particularised in the enclosed preliminary schedule, presently comprises: (a) wasted expenditure (fees paid to you and internal/third-party project costs thrown away) of £1,840,000; (b) the cost of procuring and implementing a replacement system of £760,000; and (c) business interruption and lost profit arising from the failed Banbury go-live (including expedited haulage, customer service-level penalties and lost orders) of £1,210,000. The total presently claimed is £3,810,000, together with interest.

8. We note that you may seek to rely on the limitation of liability clause at clause 22 of the Agreement. Our client's position is that clause 22 does not on its proper construction exclude the heads of loss claimed; alternatively that it is unenforceable under the Unfair Contract Terms Act 1977 as it fails the requirement of reasonableness; and further that the cap does not apply to liability arising from your reckless decision to proceed to go-live.

5. What we require

9. We require that within 14 days of the date of this letter you: (a) acknowledge this letter and confirm the identity of your professional indemnity insurers; and within 28 days you (b) provide a full written response in accordance with the Protocol, stating which breaches and heads of loss are admitted and which are denied, with reasons; and (c) make proposals for resolution, including an offer of compensation and/or a proposal for ADR.

10. Our client is willing to consider mediation. Nothing in this letter is to be taken as a waiver of any of our client's rights, all of which are expressly reserved. If we do not receive a satisfactory response within the Protocol timescale, our client will issue proceedings without further notice and will rely on this letter on the question of costs.

Yours faithfully

Whitfield Carter LLP

Whitfield Carter LLP

Enc. Preliminary Schedule of Loss; copy Agreement dated 4 March 2024